

SECURITIES AND EXCHANGE BOARD OF INDIA

OFFICIAL REGULATORY NOTIFICATION - STATUTORY TEXT

SEBI (PROHIBITION OF FRAUDULENT AND UNFAIR TRADE PRACTICES RELATING TO SECURITIES MARKET) REGULATIONS, 2003

[Regulation 3] Prohibition of certain dealings in securities

No person shall directly or indirectly: (a) buy, sell or otherwise deal in securities in a fraudulent manner; (b) use or employ, in connection with issue, purchase or sale of any security listed or proposed to be listed, any manipulative or deceptive device or contrivance in contravention of the provisions of the Act or the rules or the regulations made there under; (c) employ any device, scheme or artifice to defraud in connection with dealing in or issue of securities which are listed or proposed to be listed on a recognized stock exchange.

[Regulation 4(1)] Prohibition of manipulative, fraudulent and unfair trade practices

Without prejudice to the provisions of regulation 3, no person shall indulge in a manipulative, fraudulent or an unfair trade practice in securities markets. Dealing in securities shall be deemed to be a manipulative or fraudulent or an unfair trade practice if it involves creating false or misleading appearance of active trading in any security.

[Regulation 4(2)(a)] Circular Trading and Artificial Volume

Knowingly engaging in any act or practice which results in reflection of fake prices or volumes in any security, or entering into transactions without change of beneficial ownership, constitutes illegal circular trading and market manipulation.

[Regulation 4(2)(k)] Dissemination of false or misleading statements / Pump and Dump

Disseminating any information or advice or rumor through media, social media, messaging platforms or otherwise, which is not true or which he does not believe to be true prior to conducting transactions with an intention to manipulate the market price or volume of securities constitutes an actionable unfair trade practice.

[Regulation 4(2)(q)] Front Running and Order Anticipation

An intermediary or employee dealing in securities for their personal account or on behalf of associates before executing a substantial client order or mutual fund block trade in the same direction, to profit from the subsequent price movement, is strictly prohibited front running.
